FE5105 Corporate Financing and Risk

Group Project Guidelines

Semester 1, AY 2026/2027

1 Project Description

- Form a group of 3-5 students.
- Choose a target firm. The company should be publicly traded and have at least one year of trading history and one set of annual financial statements. The company can be listed in any market. Bloomberg, finance.yahoo.com, investing.com, and the company websites are some good financial data sources. You may use historical data in your overall analysis, but the results presented must be up to date.
- Choose N competitors of the target firm. N is the number of students in your group. The competitors should: (i) Be in a similar line of business (industry); (ii) Be of similar size, in terms of market capitalization; (iii) Be publicly traded in the same country.
- Avoid the following: (i) Firms that are constantly making losses; (ii) Financial institutions (banks, insurance companies, investment banks); (iii) Real estate investment trusts.

2 Questions to be Discussed

Part I: Financial Performance and Financing (for all firms)

- Compare the firms' profitability, operating efficiency, leverage, and liquidity using a small set of appropriate financial ratios. Explain the economically important differences rather than merely reporting the ratios.
- Identify the firms' major financing sources, including any material hidden leverage. Estimate their costs of debt and equity and their after-tax WACCs. Should the target

firm change its capital structure? Discuss the tax benefits, financial-distress costs, and financing needs associated with growth.

Part II: Valuation (for the target firm only)

- Estimate the target firm's intrinsic value using an appropriate DCF model and cross-check it using a valuation multiple from its competitors. How does the resulting valuation range compare with its current market value?
- Conduct a sensitivity analysis for the WACC, long-run growth rate, and one important operating assumption. In light of market efficiency and forecast uncertainty, how confident are you that the stock is mispriced?

Part III: Financial Planning and Risk Management (for the target firm only)

- Assess the firm's ability to meet its near-term cash requirements using its cash-conversion cycle, liquidity and coverage ratios, cash reserves, and debt maturities. How would it perform under one plausible adverse scenario?
- Identify the firm's major risks and determine which should be borne or hedged. Evaluate its existing risk-management policies and propose one specific financial or operational hedge. Explain how the proposal protects cash flows and affects firm value.

3 Format, Submission, and Grading

- Clearly state and justify any assumptions you made and try to provide some insights as to how the target firm is different from its competitors and the implications of these differences in your analysis.
- The text should be one-half spaced with a 12pt font size. The total length of the report should be less than 4+2N pages. This includes everything, so there is no need to have a separate cover page. Shorter reports will be favored given the same quality of analysis.
- Written reports should be submitted to Canvas before the final exam (TBC).
- Each group receives one grade, and every group member receives the same grade.
- The whole report, including texts, figures, and tables, should all be your own work and not copies of published materials or web printouts.
- Please always comply with the University's policies on academic integrity, which include guidelines on the use of AI tools in your academic work: (https://libguides.nus.edu.sg/new2nus/ai_guidelines_infographics).